

Economic activity in the manufacturing sector expanded in August for the 32nd consecutive month, and the overall economy grew for the 75th consecutive month, say the nation's supply executives in the latest **Manufacturing ISM® Report On Business®**.

The August PMI® registered 51.1 percent. The New Orders Index registered 51.7 percent, a decrease of 4.8 percentage points from the reading of 56.5 percent in July. The Production Index registered 53.6 percent, 2.4 percentage points below the July reading of 56 percent. The Employment Index registered 51.2 percent, 1.5 percentage points below the July reading of 52.7 percent. Inventories of raw materials registered 48.5 percent, a decrease of 1 percentage point from the July reading of 49.5 percent. The Prices Index registered 39 percent, down 5 percentage points from the July reading of 44 percent, indicating lower raw materials prices for the 10th consecutive month. Comments from the panel reflect a mix of modest to strong growth depending upon the specific industry, the positive impact of lower raw materials prices, but also a continuing concern over export growth.

Of the 18 manufacturing industries, 10 are reporting growth in August in the following order: Textile Mills; Furniture & Related Products; Paper Products; Nonmetallic Mineral Products; Chemical Products; Food, Beverage & Tobacco Products; Miscellaneous Manufacturing‡; Fabricated Metal Products; Plastics & Rubber Products; and Machinery. **ISM**

PMI® at 51.1%

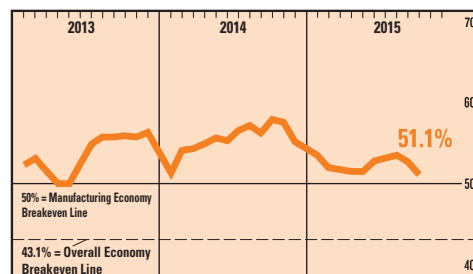
New Orders, Production, and Employment Growing; Supplier Deliveries Slower; Inventories Contracting

Manufacturing at a Glance

INDEX	Aug Index	Jul Index	% Point Change	Direction	Rate of Change	Trend* (months)
PMI®	51.1	52.7	-1.6	Growing	Slower	32
New Orders	51.7	56.5	-4.8	Growing	Slower	33
Production	53.6	56.0	-2.4	Growing	Slower	36
Employment	51.2	52.7	-1.5	Growing	Slower	4
Supplier Deliveries	50.7	48.9	+1.8	Slowing	From Faster	1
Inventories	48.5	49.5	-1.0	Contracting	Faster	2
Customers' Inventories	53.0	44.0	+9.0	Too High	From Too Low	1
Prices	39.0	44.0	-5.0	Decreasing	Faster	10
Backlog of Orders	46.5	42.5	+4.0	Contracting	Slower	3
Exports	46.5	48.0	-1.5	Contracting	Faster	3
Imports	51.5	52.0	-0.5	Growing	Slower	31
Overall Economy				Growing	Slower	75
Manufacturing Sector				Growing	Slower	32

*Number of months moving in current direction.

Manufacturing ISM® Report On Business® data is seasonally adjusted for the New Orders, Production, Employment and Supplier Deliveries Indexes.



PMI®

Manufacturing expanded in August as the PMI® registered 51.1 percent, a decrease of 1.6 percentage points from the July reading of 52.7 percent, indicating growth in manufacturing for the 32nd consecutive month. The past relationship between the PMI® and the overall economy indicates that the average

PMI® for January through August (52.4 percent) corresponds to a 2.9 percent increase in real gross domestic product (GDP) on an annualized basis. In addition, if the PMI® for August (51.1 percent) is annualized, it corresponds to a 2.5 percent increase in real GDP annually.



Note: The number of consecutive months the commodity is listed is indicated after each item.

*Reported as both up and down in price.

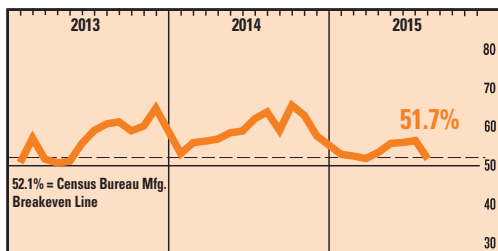
Commodities Reported

Commodities Up in Price: Plastic Products*.

Commodities Down in Price: Aluminum (9); Copper (2); Crude Oil; Diesel Fuel; HDPE Resin; Nickel (2); Oil; Plastic Products*; Plastic Resins; Scrap Metal; Stainless Steel (10); Steel (2); and Steel – Cold Rolled (3).

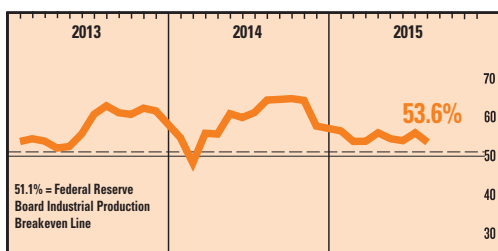
Commodities in Short Supply: None.

‡Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



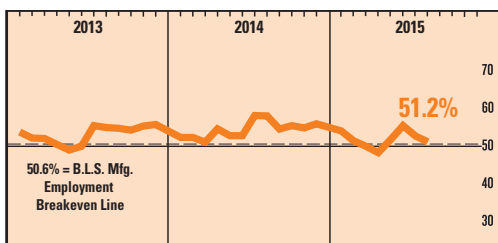
New Orders

ISM's New Orders Index registered 51.7 percent. The seven industries reporting growth in new orders in August — listed in order — are: Textile Mills; Plastics & Rubber Products; Paper Products; Chemical Products; Food, Beverage & Tobacco Products; Miscellaneous Manufacturing[‡]; and Computer & Electronic Products.



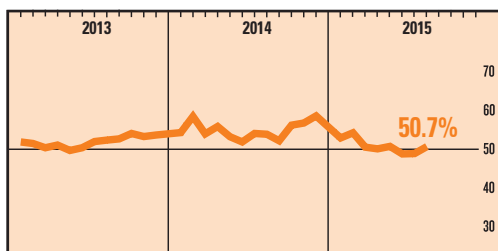
Production

ISM's Production Index registered 53.6 percent. The eight industries reporting growth in production during the month of August — listed in order — are: Textile Mills; Plastics & Rubber Products; Paper Products; Miscellaneous Manufacturing[‡]; Fabricated Metal Products; Furniture & Related Products; Food, Beverage & Tobacco Products; and Chemical Products.



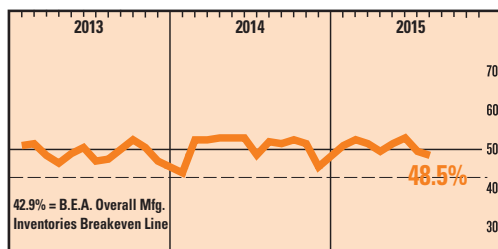
Employment

ISM's Employment Index registered 51.2 percent. Of the 18 manufacturing industries, in August, six industries reported employment growth in the following order: Nonmetallic Mineral Products; Paper Products; Fabricated Metal Products; Machinery; Chemical Products; and Food, Beverage & Tobacco Products.



Supplier Deliveries

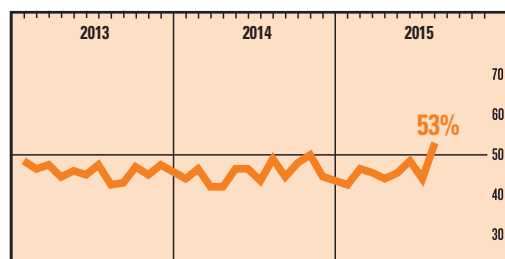
The delivery performance of suppliers to manufacturing organizations was slower in August as the Supplier Deliveries Index registered 50.7 percent. The five industries reporting slower supplier deliveries in August are: Furniture & Related Products; Miscellaneous Manufacturing[‡]; Food, Beverage & Tobacco Products; Machinery; and Transportation Equipment.



Inventories

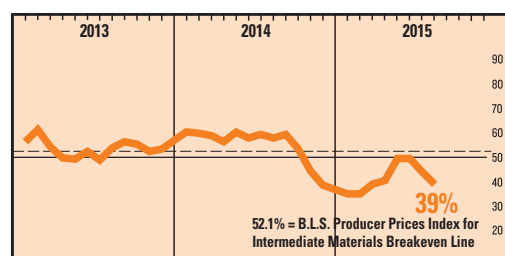
The Inventories Index registered 48.5 percent. The six industries reporting higher inventories in August — listed in order — are: Wood Products; Furniture & Related Products; Nonmetallic Mineral Products; Machinery; Fabricated Metal Products; and Computer & Electronic Products.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



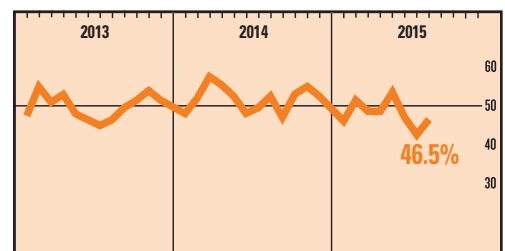
Customers' Inventories

ISM's Customers' Inventories Index registered 53 percent. The eight manufacturing industries reporting customers' inventories as being too high during the month of August — listed in order — are: Fabricated Metal Products; Furniture & Related Products; Primary Metals; Food, Beverage & Tobacco Products; Computer & Electronic Products; Machinery; Transportation Equipment; and Miscellaneous Manufacturing[‡].



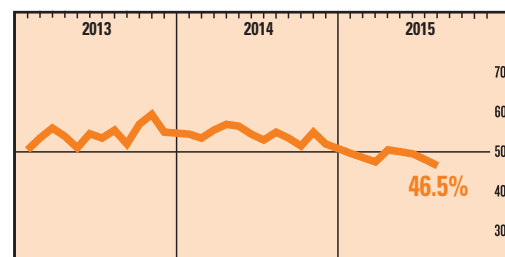
Prices

The ISM Prices Index registered 39 percent in August, which is 5 percentage points lower than in July, indicating a decrease in raw materials prices for the 10th consecutive month. Of the 18 manufacturing industries, no industries are reporting paying increased prices for their raw materials in August.



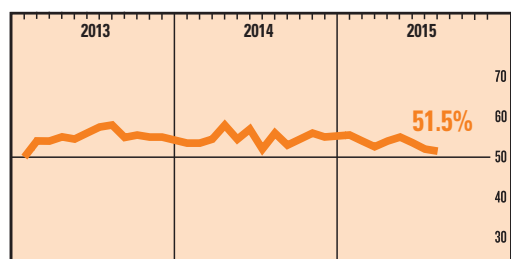
Backlog of Orders

ISM's Backlog of Orders Index registered 46.5 percent. The five industries reporting increased order backlogs in August are: Textile Mills; Paper Products; Miscellaneous Manufacturing[‡]; Computer & Electronic Products; and Chemical Products.



New Export Orders

ISM's New Export Orders Index registered 46.5 percent. The five industries reporting growth in new export orders in August are: Nonmetallic Mineral Products; Miscellaneous Manufacturing[‡]; Food, Beverage & Tobacco Products; Computer & Electronic Products; and Paper Products.



Imports

ISM's Imports Index registered 51.5 percent. The seven industries reporting growth in imports during the month of August — listed in order — are: Primary Metals; Transportation Equipment; Furniture & Related Products; Plastics & Rubber Products; Fabricated Metal Products; Food, Beverage & Tobacco Products; and Computer & Electronic Products.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).